

EQUITY RESEARCH · COMPANY DEEP DIVE

Cisco Systems, Inc. (CSCO.US)

Technology · Communication Equipment

Large Cap (>\$200B) · Report Date: July 27, 2026

Latest financials: Q3 FY2025 · Model data as of 2026-07-27

BUY

Composite · Valuation: BUY

Target \$165.37 · +45.4% upside

Price \$113.71

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$165.37 (+45.4% vs \$113.71); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	BUY	Blended PT \$165.37	45%
FSA	Strong	Health +0.25 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +69%	15%
Composite	BUY	Score +0.64 · 100% confluence	—

Valuation + technical aligned bullish; solid financial statement profile.

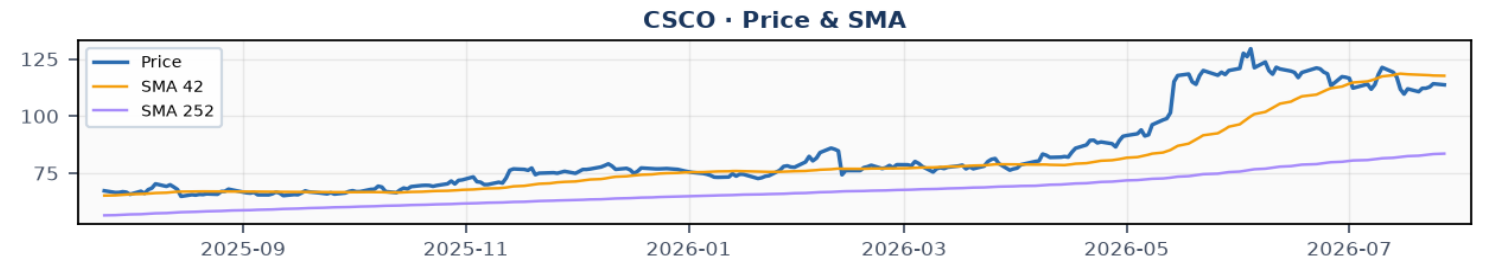
INVESTMENT THESIS / EXECUTIVE SUMMARY

Cisco Systems, Inc. (CSCO) — Technology. Cisco Systems, Inc. designs, develops, and sells technologies that help to power, secure, and draw insights from the internet in the Americas, Europe, the... **BUY** rating; blended target \$165.37. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$448.18B	Shares Out.	3941.4M
52-Week Range	\$65.75 – \$130.37	P/E (TTM)	37.9x
P/B	9.2x	Beta	1.01
Avg Volume	25.16M	Analyst Rec.	Buy
Revenue (TTM)	\$60.75B	Rev Growth	+12.0%
Op. Margin	25.0%	FCF (TTM)	\$13.29B
Gross Margin	64.3%	ROE	25.2%
EV/EBITDA	27.4x	Debt/Equity	67.5%
EPS (TTM)	\$3.00	Div Yield	1.5%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	53,803	56,654	63,452	69,258	74,214
Revenue Growth (%)	N/A	5.3%	12.0%	9.1%	7.2%
Net Income (\$M)	10,320	10,180	11,402	12,445	13,335
Gross Margin (%)	64.7%	64.9%	64.3%	64.3%	64.3%
Net Margin (%)	19.2%	18.0%	18.0%	18.0%	18.0%
EPS (\$)	2.62	2.58	2.89	3.16	3.38
P/E (x)	43.43	44.03	39.31	36.01	33.61

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$117.67	Short-term trend	12m Momentum	+69.0%	
SMA (252d)	\$83.57	Long-term trend	3m Momentum	+29.3%	
RSI (14d)	53.4	Momentum oscillator	Ann. Volatility	25.3%	
Trend	Bullish		Sharpe Ratio	0.59	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-36.7%	
Death Cross (20d)	No		Rel. Strength vs SPY	+56.6%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$117.67, SMA252=\$83.57	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	23.6%	B&H; 30.7%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$72.23	-36.5%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — Blended	\$174.15	+53.2%	80%	Included in blend
Analyst consensus	\$130.23	+14.5%	20%	Included in blend
Blended target	\$165.37	+45.4%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
9.54%	4.00%	6.00%	\$284.69B	\$72.23	-36.5%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ANET	Arista Networks, Inc.	\$212.71B	58.0x	48.8x	38.3%	+35.1%
MSI	Motorola Solutions, In	\$70.78B	34.4x	22.3x	17.6%	+7.4%
JNPR	JNPR	N/A	N/A	N/A	N/A	N/A
CIEN	Ciena Corporation	\$52.22B	122.6x	70.9x	7.9%	+39.5%
CSCO*	Cisco Systems, Inc.	\$448.18B	37.9x	27.4x	19.7%	+12.0%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Moderate revenue expansion (12.0% YoY); Healthy operating margins (25.0%); Sector: Technology | Industry: Communication Equipment · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.